To begin understanding any fixed-income asset, we start by reading the credit analysis report. Credit rating reports are issued by independent credit rating companies like ICRA, CRISIL, and CARE in India. These are independent companies that analyze the company and release a rating report based on various parameters and they grade each company based on its worthiness.

So, each credit rating agency follows its rating scale and give a rating to each bond in the market. From this, we can get an idea of the credit quality of the issuer. For instance, an AAA rating means the highest security whereas B, C or D means very high risk and low safety in the asset. This is the rating system used by CRISIL. ICRA and CARE also have a similar rating system.

Each bond compulsorily needs to be rated. We can hence go through the credit rating report that gives a score and also lists down the strengths and weaknesses of the issuer. Having said that, credit rating reports have two problems:

- one, credit rating agencies are paid by the company (issuer) and therefore the company can influence the report,
- second, they can be incorrect at times.

However, as an individual, we can rely on credit rating reports to be correct in general and can be relied upon.

AAA	Highest Safety
AA	High Safety
A	Adequate Safety
BBB	Moderate Safety
BB	Moderate Risk
B	High Risk
AAA	Very High Risk
AAA	Default

CARE Ratings
Professional Risk Opinion

ICRA

CRISIL
An S&P Global Company